### 1.17.4 Significance of bank reconciliation statement

It confirms the accuracy of all transactions recorded in the cash journals and the balance in the bank account. It also keeps track of outstanding cheques, deposits; r/d cheques; bank charges. The reconciliation procedure also enables the trader to identify errors/omissions in the cash journals and errors/omissions in the bank statement.

### 1.17.5 Cheque no. 915

The amount has not yet been deducted from Amelia's current banking account. This means that the account has not yet been paid. On the Balance Sheet date all post-dated cheques are reversed:
Add to Bank; add to Creditors control.

## TASK 1.18 ☺ [LO 1; AS 1.4]

**1.18.1**

| CRJ |
|---|
| 54 210 |
| 529 |
| 2 900 |
| 2 500 |
| 500 |
| |
| **60 639** |

**1.18.2**

| CPJ |
|---|
| 49 210 |
| 254 |
| 788 |
| 4 562 |
| 327 |
| 1 344 |
| 3 500 |
| **59 985** |

**1.18.3**

**GENERAL LEDGER OF COSMOS STORES**
**BALANCE SHEET SECTION**

**BANK** **B**

| | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| 20.8 | | | | | | 20.8 | | | | |
| Oct | 31 | Sundry accounts | CRJ | 60 639 | | Oct | 01 | Balance[1] | b/d | 8 924 |
| | | Balance | c/d | 8 270 | | | 31 | Sundry accounts | CPJ | 59 985 |
| | | | | **68 909** | | | | | | **68 909** |
| | | | | | | Nov | 01 | Balance | b/d | 8 270 |

[1] 14 320 + 500 + 1 548 + 996 – 8 440

### 1.18.4 BANK RECONCILIATION STATEMENT AT 31 OCTOBER 20.8

| | | Debit | Credit |
|---|---|---|---|
| Balance as per bank statement | | 4 011 | |
| Outstanding deposit | | | 2 561 |
| Outstanding cheques: | No. 223 | 1 321 | |
| | No. 236 | 1 999 | |
| | No. 248 | 3 500 | |
| Balance as per bank account | | | 8 270 |
| | | **10 831** | **10 831** |